

sound investment. There are many times when an entirely healthy company will be very short of cash.

Another valuable investment secret is that the owners of sound securities should never panic and unload their

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holdings when prices skid. Countless individuals have panicked during slumps, selling out when their stocks fell a few points, only to find that before long the prices were once more rising.

The professional or experienced semiprofessional investor has little in common with speculators who hopefully play the market when prices are spiraling up.

The veteran investor objectively looks for bargains in growth stocks—which he buys and holds, and from which he generally reaps handsome profits over a period of years.

He banks on the climate—and makes all necessary allowances and takes all precautions so that he can ride out any stock market storms.

There is still a lingering misconception that the small or amateur investor is at the mercy of the big investors and the Wall Street financiers. This might have been the case in the dim, distant and unlamented days of Jay Gould, but nothing could be further from the truth today. No ruthless, rapacious Wall Street tycoon can rig the market or corner the stocks of an entire industry these days. For one thing, stock market transactions are closely regulated by such highly efficient and potent watchdog organizations and agencies as the Federal Securities and Exchange Commission—the SEC. For another, the common stocks of most large corporations are owned by thousands and tens of thousands of individuals, organizations, mutual fund groups and so on. "Big" investors seldom own more than a comparatively small percentage of a large corporation's common stock.

If anything, it is the professional investor who is at the mercy of the speculator and the amateur—at least in the sense that the latter categories of